



Qualification Programme Examination Panelists' Report

Module A – Financial Reporting (December 2018 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case study questions tested the candidates' knowledge of the accounting principles in relation to goodwill allocation, impairment of goodwill, and fair value of trade name in a business combination. The questions also asked candidates to prepare consolidated profit or loss and other comprehensive income, consolidated statement of financial position, as well as reconciliation of investment in an associate. In general, many candidates were able to prepare proper consolidated financial statements. However, most candidates were unable to properly advise on the appropriate accounting principles in relation to goodwill allocation and fair value of trade name in a business combination.

Specific Comments

Question 1 – 8 marks

This question required candidates to explain the accounting principles in relation to the goodwill allocation and impairment of goodwill.

The performance was not satisfactory. Only some candidates understood the question requirements by applying their knowledge of HKAS 36. Many candidates did not mention that goodwill should be allocated to cash generating units that are expected to benefit from the synergies, and thus impairment test should not be performed for an entity as a whole. Many candidates incorrectly referred to HKFRS 3 and advised on how to calculate goodwill instead of advising on goodwill allocation and impairment.

Question 2 – 6 marks

This question required candidates to advise whether a fair value of zero should be assigned to a trade name at the acquisition date, as well as the subsequent accounting treatment.

The performance was not satisfactory. Most candidates were unable to state that HKFRS 3 requires the acquirer to recognise all identifiable assets and measure them at their fair value while fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at



the measurement date (HKFRS 13). Many candidates incorrectly referred to HKAS 38 *Intangible Assets* and HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Question 3 – 32 marks

This question required candidates to prepare the worksheets for the consolidated profit or loss and other comprehensive income, and consolidated statement of financial position.

The performance was satisfactory. Many candidates were able to prepare a proper consolidated statement of financial position. However, some candidates were not familiar with the consolidated profit or loss, and other comprehensive income, and were unable to show the profit attributable to owners of parent and to non-controlling interests.

Question 4 – 4 marks

This question required candidates to prepare a reconciliation of the investment by showing the value of net assets shared and the goodwill component.

The performance was not satisfactory. Many candidates did not attempt to answer this question. Most candidates were unable to calculate the correct value of net assets shared and goodwill component.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding and ability to apply their knowledge to commonly seen situations in practice.

Some candidates were able to score very high marks, showing a high level of understanding in the areas tested. For those candidates, they were able to present their answers in response to the questions with technical reference / rationale in a logical and succinct manner.

However, many candidates demonstrated a lack of awareness in some of the specific requirements, while quite a few misread some of the questions.

In general, performance in this section was unsatisfactory.



Specific Comments

Question 5(a) – 12 marks

This question required candidates to compute basic and diluted earnings per share (“EPS”), and to explain specifically the treatment of bonus issue and share options in their calculations.

The performance was less than satisfactory. While the instruments involved in the questions are commonly seen in practice, many candidates demonstrated a lack of awareness of the treatment required by HKAS 33 *Earnings per Share*, in particular regarding share options that were outstanding but were exercised during the year which is covered in HKAS 33 para. 38.

Some candidates mixed up the treatment of share options with those for rights issue. There were also avoidable mistakes in the calculations (e.g. wrong number of months included in the weight average calculation).

Question 5(b) – 3 marks

This question required candidates to explain the treatment of bonus issue that occurred after the financial year end, but before the financial statements were authorised for issue.

Performance on this question was unsatisfactory. Most candidates were not aware of the requirements under HKAS 33 para. 64 that specifically addresses this situation, but referred to HKAS 10 *Events after the Reporting Period* instead to arrive at an incorrect conclusion.

Question 6(a) – 9 marks

This question required candidates to evaluate the assertion of management in regards to the classification and measurement of a wealth management product and a non-listed equity instrument. The question also required the candidates to determine whether the impairment requirements under HKFRS 9 *Financial Instruments* apply to those instruments.

Performance on this question was less than satisfactory. Many candidates jumped to the conclusion that the non-listed equity instrument should be classified as fair value through other comprehensive income because it is not held for trading, and not many mentioned that the instrument would have been classified as fair value through profit or loss if an irrevocable election was not made.

Some candidates considered it appropriate to account for non-listed equity investments that are not held for trading at cost. Candidates should note that there is no longer provision under HKFRS 9 to measure investments at cost, although on initial recognition an entity might be able to use the transaction cost as an estimate of fair value.



In general, the candidates were able to highlight the application of solely payments of principal and interest (“SPPI”) test, as well as the business model test, which is a common strength.

While some candidates did not directly address whether they agree or disagree with Management’s assertion, few candidates managed to address whether the impairment requirements under HKFRS 9 were applicable to the instruments in question.

Question 6(b) – 4 marks

This question required candidates to explain why impairment loss is recognised for trade receivables that are not yet due and not expected to go bankrupt, rather than how the different approaches under the expected credit loss model are applied.

The performance on this question was not satisfactory. Many candidates discussed in detail the different approaches in measuring expected credit loss, and failed to provide general examples of scenarios under which impairment loss would have been recorded even when there is no default.

Some candidates incorrectly applied HKAS 36 *Impairment of Assets* in their arguments. HKAS 36 is not applicable to financial assets that are under the scope of HKFRS 9.

Question 6(c) – 4 marks

This question required candidates to describe the accounting treatment of the costs incurred when an entity issues convertible bonds and new shares on IPO.

The performance on this question was unsatisfactory. Most candidates appear to have misread the question and went on talking about the accounting treatment of the convertible bonds and shares upon initial recognition as opposed to the costs directly related to the issuance such instruments.

For those that understood the question, the majority assumed the costs to be “incremental” and did not mention the corresponding accounting treatment if that was not the case.

Many of the candidates mistakenly concluded in one broad stroke that costs associated with issuance of new shares should be recognised in profit or loss, when HKAS 32 *Financial Instruments: Presentation* para. 37 says that transaction costs of an equity transaction are accounted for as a deduction from equity to the extent they are incremental costs directly attributable to the equity transaction.



Question 7(a) – 6 marks

This question required candidates to identify and consider the ethical issues and threats faced by qualified certified public accountants in regards to deliberate misstatements in face of pressure from senior management.

In general, performance on this question was less than satisfactory. Answers to this question tend to be general. While most candidates were able to note the relevant unethical behaviours, many were not able to comment in what way such behaviours breached specific principles in the Code of Ethics.

Question 7(b) – 5 marks

This question required candidates to comment on the disclosures in regards to the prior year adjustment prepared by management.

Most candidates were able to answer the question in a well organised manner, although only a few managed to provide a critique of what management prepared. Only a few candidates remembered that the entity need to present a third statement of financial position as at the beginning of the preceding period.

Question 7(c) – 5 marks

This question required candidates to list out the requirements for a liability to be classified as current / non-current, and to advise whether a loan that becomes repayable on demand due to breach of covenant would still need to be classified as current if the entity received a waiver from the lender after the financial period end but before the financial statements were authorised for issue.

While some candidates were able to identify the full requirements under HKAS 1 *Presentation of Financial Statements*, many merely focused on whether the liability is to be repaid within 12 months after the reporting period.

Most candidates were able to arrive at the correct conclusion, although the rationale given could have been presented more comprehensively.

Question 7(d) – 2 marks

This question required candidates to explain the basis of preparation applicable when management decides to liquidate the entity after the financial period end but before the financial statements were authorised for issue.

Many candidates did not attempt this question. For those that attempted, the majority arrived at the appropriate conclusion that the financial statements should no longer be prepared on a going concern basis.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory. Candidates are advised to revisit the fundamental requirements on the classification and measurement and impairment of financial assets in HKFRS 9 *Financial Instruments*, as these areas are applicable to virtually all companies in practice.

Candidates are reminded to read the questions carefully and address what is being asked. In addition to the conclusions made, it is also important to demonstrate an understanding of how answers are arrived at.

Candidates are reminded to make a reasonable attempt to answer each part of the questions.

Candidates are suggested to refrain from using acronyms unless they are also defined within the answers to avoid confusion. Also, candidates are advised to keep their handwriting legible.